

43. Facebook's headquarters near San Francisco. Today, California builds its fortunes on silicon. But whereas in 1849 the gold actually lay there in the Californian soil, the real treasures of Silicon Valley are locked inside the heads of high-tech employees.

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Scholars have sought to explain this happy development in more books and articles than you would ever want to read yourself, and they have identified several contributing factors. First and foremost, the price of war has gone up dramatically. The Nobel Peace Prize to end all peace prizes should have been given to Robert Oppenheimer and his fellow architects of the atomic bomb. Nuclear weapons have turned war between superpowers into collective suicide, and made it impossible to seek world domination by force of arms.

Secondly, while the price of war soared, its profits declined. For most of history, polities could enrich themselves by looting or annexing enemy territories. Most wealth consisted of material things like fields, cattle, slaves and gold, so it was easy to loot it or occupy it. Today, wealth consists mainly of human capital and organizational know-how. Consequently it is difficult to carry it off or conquer it by military force.